ShopSmart Business Recommendations Report

Introduction

After analysing ShopSmart Retail Group's sales, customers, returns, and inventory data, I identified some important findings that can help the business improve its performance and make better decisions.

Three Key Findings

1. Beauty is the highest-revenue category.

The Beauty category generated ₦1.76 billion in sales, making it the highest-performing category. This suggests that customers spend a significant amount on beauty products.

2. Sales performance differs across stores and regions.

ShopSmart Lagos recorded the highest store revenue at ₦1.23 billion, while the South region generated the highest regional revenue of ₦2.42 billion. This shows that sales are not evenly distributed across the business.

3. Some products are frequently returned, and some stores have low stock.

Home Item 263 had the highest number of returns, with 11. Also, 14 stores had inventory records at or below their reorder levels. These issues need attention to help prevent avoidable losses and stock shortages.

Three Business Recommendations

1. Focus on the Beauty category.

Management should review the performance and profit margins of beauty products and consider increasing stock for products that sell well. This can help the business meet customer demand while maintaining profitability.

2. Improve inventory monitoring.

The business should regularly review stock levels and reorder points, especially in stores with several low-stock records. This can help reduce stock shortages and ensure that popular products are available when customers need them.

3. Investigate product returns.

Management should review the reasons for returns, starting with Home Item 263 and other frequently returned products. Understanding the causes can help the business address quality issues, improve product descriptions or resolve customer concerns.

One Risk Identified

A key risk is losing sales when products are out of stock. If low inventory is not addressed promptly, customers may be unable to find the products they want and could choose to shop elsewhere.

One Opportunity Identified

The Beauty category presents an opportunity for growth because it generated the highest revenue. By identifying its most profitable products and ensuring they remain available, ShopSmart can build on existing demand and potentially increase sales.

Conclusion

The analysis shows that ShopSmart can improve its performance by building on strong product categories, monitoring inventory more closely and investigating product returns. Regularly reviewing these areas will help management make better-informed business decisions.